

eg update

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【メール原文】

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politics and the global economy

i'm far from a market watcher, but i've been struck by growing concerns from corporate, financial, and government leaders alike about risks to the global economy.

the growth story: unprecedented spending on artificial intelligence. it's the biggest capital expenditure in history, dwarfing the manhattan project, the railroads, and the internet boom (with every expectation that we're just getting started). and now an equally unprecedented reaction: some of the most respected leaders in the ai field—including the biggest hyperscalers—now believe aspects of frontier technology have become unacceptably dangerous and can only be mitigated by government. others sharply disagree and remain aligned with the us government's hands-off, voluntary approach (at least for the moment). for their part, the trump administration is focused on the essential importance of continued ai growth for both the economy and the maintenance of us national security (while arguing, not implausibly, that at least part of the desire of the ai companies to be regulated is to further entrench their power via building a moat against competition). while the chinese are less focused on ai risks than (most) us technology leaders, intending to use the distraction of political divisions in the united states to catch up.

there's a serious problem with the lack of alignment and governance around ai, which i've written about over past months and will again. but given that ai is "the big thing" driving global growth, there's the related question of how misalignment between the politics of ai and its risk profile is going to affect the economy and markets.

by itself, the scale and pace of ai investment growth in this environment would be a worry. especially given that the requirements to commercialize are inadequately aligned with frontier models (near-term profit requirements given expected returns are staggering even absent cutthroat competition, never mind that chinese open-source models are cheaper and more than adequate for most consumer and business use).

added to that, some broader risks: 1) high energy and commodity prices, from geopolitical dislocations in the middle east and russia/ukraine, neither of which are likely to resolve soon given stockpiles having been drawn down and refineries having been hit. 2) structurally higher tariffs from the united states, with reciprocal responses from most major economies. 3) higher interest rates increasing debt servicing costs in the united states and more broadly. 4) growth juiced by persistent us deficit spending at a time that the economy hasn't needed it.

all of this is happening against a political environment where citizens in developed countries are historically mistrustful of (most of) their leaders and particularly of those in control of artificial intelligence, and demanding push back. and in just a few weeks, us midterm elections are about to return democrats to power in the house and likely the senate, leading to comprehensive investigations of the trump administration and its relevant policies. it's also going to bring much sharper scrutiny of technology companies that the population (and their newly elected members of congress) mistrust.

in short, the politics and geopolitics are creating greater risks to growth and markets.

two notes of resilience:

1) china is prepared for a rainy day. true, it was for a different storm than they had anticipated (conflict over taiwan; disruption of the strait; direct sanctions and export controls from the americans and allies). no matter, the chinese government fully understands soft consumer sentiment, corporate bad debt, and provincial bankruptcies—but they continue to structurally invest less in underperforming domestic demand because they think it's less important long term (and more easily managed politically) than investing as much as possible in game-changing strategic sectors and the world's largest commodity stockpiles. both for the enhanced political stability that comes from resilience and to become the world leader in ai, biotech, robotics, and post-carbon energy.

2) the ai revolution is real. legitimate concerns of crisis notwithstanding, the long-term benefits of investing in advanced ai models are already clear in almost every sector; and the more advanced the models, the more extraordinary that continues to prove to be. this doesn't mean the beneficiaries will be the companies leading ai development presently. but barring existential risks (that i consider well overstated...and, truth be told, even most of the "p(doom)ers" would hardly bet on) the long-term perspective—especially for those companies that can manage the coming uncertainty and those that support their ecosystem—should remain bullish.

but that is the longer-term future. getting from here to there looks bumpy and increasingly worrisome, with top sovereign investors i've spoken with expecting a major market correction. why? the politics are just too dysfunctional. political leaders who aren't trusted are replaced with those that are more disruptive. technology leaders will fight each other to profit (or at least to ensure they aren't the first that are made examples of) and coordinate to prevent upstarts from becoming competitive. when that causes backlash, investments that are already struggling under the burden of labor shortages, expensive inputs, and elevated profit expectations become more difficult to sustain. and especially in the united states, the excesses of a captured, coin-operated political system are becoming more consequential than the excesses of a non-representative democracy, and that's where we will see the most demand for change.

as that happens, the scale of the political dysfunction will start creating more pressures for structural reform. as capital gains at the expense of labor, the demands for a new social contract will grow stronger. fiscal redistribution toward infrastructure and social spending at scale. a shift away from defunct educational models, toward trades and universal retraining. it's a hopeful time in the sense that we're about to have the technological and political crises that are necessary to break these long-standing deadlocks, policy solutions that most everyone sees as necessary and nobody has the political will to implement. but it's not yet an optimistic one...because the current trajectory isn't sustainable. top risks should be fun this january.

israel

it's been three years since the october 7 terrorist attacks. and on the single conflict that has most bedeviled international diplomacy for generations, it's fair to say we're no closer to peace in the middle east.

in gaza the ceasefire is partially holding, there is no longer famine/starvation, and most children are once again receiving education. but a population of two million is living in about 30% of the territory. and there's been little meaningful movement on creating new infrastructure. the parties can't get beyond phase one of the agreement. because hamas remains in a position of authority in gaza, and the interests of hamas and israel going forward are mutually incompatible. despite all the destruction—most of hamas's leadership, known tunnel infrastructure, and weapons labs have been destroyed—hamas remains unwilling to disarm, and it's very hard to completely displace them. it's not as if they need heavy arms, and most of the palestinian people hate israel a lot more than hamas (even though they would rather have other leaders).

meanwhile, as they head to the polls this month, foreign policy is an area of alignment for israelis—in terms of gaza, no two-state solution for the palestinians more broadly, fighting against hezbollah in lebanon, and seeing iran as an existential threat. most israelis perceive foreign policy principally through a lens of encirclement by hostile actors who wish to destroy them (with the latest near downing of a fly dubai jet heading to tel aviv, with a copilot almost crashing the plane, only the latest extreme datapoint), not as the dominant military and technological power in the region.

both can, of course, be true. the latter frame of reference is increasingly the dominant one for those outside the region, including some of israel's closest friends historically: most of europe, canada, and especially the united states. from the unilateral recognition of a palestinian state, to recent sanctions on israeli companies conducting business in the occupied territories of the west bank, to targeted sanctions against members of cabinet, the policy measures taken in response have been largely symbolic. but they reflect broad western populations, especially among younger voters, who are now more sympathetic to the palestinian cause than israel's. and while there's also broad rejection of the notion that anti-israeli policy equates to anti-semitism (a perspective that prime minister netanyahu has advanced in service of his political cause), it's also true that anti-semitic sentiment and attacks, non-violent and violent, have risen precipitously across the west in the three years since october 7.

this month's elections may well spell the end of this longstanding government led by israeli prime minister benjamin netanyahu. israelis have lots they're angry about with him, to say nothing of the far right presently serving as coalition partners to likud in the government (they're particularly angry about the religious orthodox not having to participate in mandatory military service, a series of corruption scandals that the prime minister has done his best to bury, and relatedly but more importantly, political attacks on israel's independent judiciary). unlike the unifying foreign policy issues, these are overwhelmingly disagreements on domestic politics.

it's plausible (and indeed our baseline, though it's close) that netanyahu is ousted in the vote—with former israel defense forces chief of staff gadi eisenkot winning and forming a center-right/center-left coalition. if that's the case, though gaza policy wouldn't shift, i'd expect to see moves on other palestinian issues, including reigning in israeli terror groups and illegal settlement activities on the west bank (at a time many israelis believe conflict there is about to explode) and improved treatment of those two million that are citizens of israel. an eisenkot administration would also shift to a more pragmatic israeli policy on syria, where most in the israeli security establishment believe the new government is someone they can work with; as well as less israeli focus on regime change in iran. all of which would underpin an effort to reshape relations to be more stable with the united states and

europe. in short, a post-netanyahu government would be a reprieve to the sharply downward trajectory of israeli relations with the west...but not enough to turn present trends around.

brazil

over the weekend what looked to be a tight first round election in brazil ended up being more favorable to flavio bolsonaro. with a two-point advantage, he now enters the second round as the clear favorite.

most brazilians focusing on cost of living, security, and corruption are particularly unhappy with both of their main candidates. president lula presides over a poorly performing economy, is seen as complicit with a corrupt and politicized supreme court, and has offered a lackluster performance on the campaign trail, increasingly gaffe-prone at the age of 80. flavio bolsonaro is the son of the tarnished president jair bolsonaro, found guilty and under house arrest for an attempted coup, including members of the military, to overturn his loss to lula in a free and fair election. there was a credible path for a third-party candidate for a few weeks, but none of the contenders could build adequate national name recognition so they've fallen to the wayside. given the breakdown of voters supporting third party candidates, flavio now enters the run-off with a 3-4 point advantage over lula.

a few thoughts:

1 - president trump isn't going to interfere. he strongly prefers flavio bolsonaro (and the bolsonaro family has been actively lobbying the white house in his favor over the last year). but the white house understands that any overt involvement will create backlash, as the maga alignment doesn't help bolsonaro domestically, leading to a canada or australia style political reaction. so the americans have been hands off (leaving aside all the social media impact, which has become a baseline for democratic elections at this point, and the establishment of a new pro-maga non-profit in sao paulo that's worrying political insiders but won't matter for the outcome).

2- if bolsonaro wins, the shift in alignment toward the united states on security will be immediate. brazil would immediately join the shield of americas, declare drug gangs to be terrorist organizations, and support joint operations in the country and at sea with us intelligence and military. he'd also undo much of lula's national critical minerals policy, instead coordinating with us efforts to build supply chains. though on overall trade, brazil's lead partner (and tech partner) has long been china, and despite the overt anti-communist china messaging of the bolsonaros, that isn't going to change if flavio takes the presidency.

3 - a bolsonaro win is also market friendly, with focus on a broad fiscal reform—essential to lower interest rates—and improving the country's investment environment for conducting business. though it's a turnaround on climate policy, as well as on deforestation in the amazon—which has been one of lula's signature successes. also brazil has been consistently underperforming on tech and ai, which could see some improvement with flavio given his focus on tech and close relationship with the trump administration.

4- brazil has become a strongly polarized population with citizens increasingly seeing their dysfunctional political system as illegitimate and structurally corrupt, with weaker institutions than the united states. mistrust in brazil's supreme court (because of overt politicization of sitting members and staggering amounts of corruption) has made this worse. half of the population is willing to vote for bolsonaro jr, despite papa's attempt to organize an actual military coup on january 8 (far more serious than the january 6 insurrection that led to president trump's second impeachment) because they see it as lawfare and view the alternative as more corrupt. the potential for further capture of the system from

organized crime is a key risk to track in a bolsonaro scenario despite his public focus on crime fighting and declaring syndicates terrorist organizations.

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i'm in europe this week—zurich today after a little confab in basel. where after a late dinner i turned on the television to find...an astronaut bread, who apparently just floats in front of a satellite and passes along his existential despair. apparently he's quite popular among the germans. i admit, i love this little fellow. here's my first encounter .

next to london for our annual europe summit. shall do my best to make it upbeat and friendly...

very best,

ian

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